



WHAT TO EXPECT

- 1 **GOLD SHINES IN 2024:** Potential interest rate cuts and global uncertainties favour gold. It is expected to outperform stocks, bonds, and real estate
- 2 **PRICE DRIVERS:** The US Fed's decisions on interest rates, inflation trends, global conflicts, and dollar movement
- 3 **LONG-TERM PLAY:** While gold provides security and steady returns, it should be included strategically in a diversified portfolio for the long term
- 4 **BALANCED PORTFOLIO:** Exposure to gold, however, must be restricted to 10-15% to maximise returns
- 5 **INVEST SMART:** Sovereign Gold Bonds earn interest and provide tax benefits if held till maturity, while gold ETFs are lower cost options for shorter-term holding

rate-raising spree, but at the same time sought to diversify their reserves, and gold was the best instrument to do that.

This is borne out by data from the World Gold Council. After a dip in 2020 and a slight rise in 2021, central bank purchases of gold more than doubled to a record high of 1,081 tonnes in 2022, dipping only slightly to 1,037 tonnes in 2023. Experts say the trend is expected to continue in 2024.

Considering the central role played by the US Federal Reserve—the most influential central bank—its interest rate trajectory will be key in 2024, too. The year began with expectations of multiple rate cuts this year, but those hopes have since waned. Ravindra Rao, Head of Commodity Research at Kotak Securities, says, “Currently, the market anticipates a 54% probability of a quarter-point rate cut by June, potentially extending to July should inflationary pressures persist,” he says. He feels gold holds promise over a six-month horizon.

“On the price front, COMEX Gold prices seem poised to remain above the \$2,150-mark, the previous all-time high. Such sustainability would empower the bulls to potentially drive prices towards \$2,250–2,300 per troy ounce, corresponding to ₹68,000 per 10 gm in the MCX (based on the prevailing USD-INR rate),” says Rao.

Amit Goel, Co-founder and Chief Global Strategist at money manager Pace 360, highlights the ETF outflows to argue that gold is currently an under-invested asset class. “Redemptions in gold ETFs have reached nearly 30% from their peak in 2020, marking eight consecutive quarters of net redemptions—a historical first. The stage is set for a multi-year bull run, and we anticipate gold reaching levels of